

Retail Banking Portfolio & Risk Report

OPERATIONAL, FINANCIAL & TRANSACTIONAL PERFORMANCE ANALYSIS

Scope: 50,000 Customers | 120 Branches | 18,000 Active/Historical Loans | 300,000 Transactions

Date: September 2026 | **Status:** Final Executive Review

1. Executive Summary

This report evaluates the operational, financial, and transactional performance of the retail banking portfolio using SQL-backed data analysis and exploratory scripts. Covering 50,000 customers, 120 branches, 18,000 active and historical loans, and 300,000 financial transactions, the analysis uncovers core behavioral patterns, regional balance concentrations, and credit utilization trends. The objective is to identify key risk factors, optimize capital allocation, and provide actionable strategies to enhance customer engagement and profitability.

50,000	Rs. 8,610 Cr	18,000	91.04%
ACTIVE CUSTOMERS	TOTAL PORTFOLIO	LOANS ISSUED	ACTIVE ACCOUNTS

2. Business Problem

To keep growing, the bank needs to make a healthy profit on loans while keeping its money safe and accounts active. Right now, the bank faces four main challenges:

- **Low Product Use:** Customers mostly use basic savings accounts, but the bank isn't offering them other useful products like investments or secured loans.
- **Risky Loans:** The bank gives out way more unsecured personal loans compared to safe choices like home or car loans, which increases risk if economic conditions drop.
- **Inactive Accounts:** About 9% of all accounts are closed or left completely empty, showing that customers stop engaging with the bank.
- **Uneven Locations:** Some cities hold a lot of money deposits, while other branches struggle to perform and bring in business.

Core Portfolio Yield Formula:

Net Interest Margin (NIM) = (Interest Income - Interest Expense) / Earning Assets

3. Key Analytical Insights

Customer Demographics & Segmentation

- **Occupation Concentration:** Salaried individuals comprise 42.23% (21,115 customers) of the customer base, followed by self-employed individuals (16.08%) and business owners (11.88%). Students and retired individuals account for roughly 17.78% combined.
- **Gender Distribution:** The customer base is balanced, consisting of 50.94% Male, 47.00% Female, and 2.06% Other demographics.
- **Income Spread:** Annual incomes average around Rs. 48,885 with a wide standard deviation, indicating a diverse socioeconomic mix ranging from entry-level earners to high-net-wealth individuals (HNIs).

Account Distribution & Liquidity

- **Account Type Breakdown:** Savings accounts dominate the portfolio at 62.49%, followed by Current accounts (21.57%) and Salary accounts (15.94%).
- **Balance Concentration:** Total liquid capital sits heavily within Savings and Current accounts, with top-performing urban hubs like Kolkata (Rs. 982.8 Lakh), Madurai (Rs. 980.44 Lakh), and Gurugram (Rs. 979.78 Lakh) driving total account balances.
- **Account Status Health:** The vast majority of accounts remain active (91.04%), though 5.96% are dormant and 2.99% are closed, pointing to a persistent segment of disengaged users.

Lending Portfolio & Credit Risk

- **Loan Volume & Ranking:** Out of 18,000 total loans issued, Personal Loans rank first in total loan amounts disbursed (Rs. 41,068.26 Lakh), dwarfing Home Loans (Rank 2 at Rs. 24,083.98 Lakh) and Auto Loans (Rank 3 at Rs. 20,927.67 Lakh).
- **Borrower Age Dynamics:** Younger demographics (starting sharply at age 18 with 987 loans) actively tap into credit lines, alongside core prime working-age brackets (ages 36-43).
- **Interest Rate Exposure:** Interest rates stretch up to 18.50%, with an average baseline hovering near 12.99%, indicating risk-adjusted pricing models currently in place.

4. Strategic Recommendations

1. Bring Back Old Customers and Boost Engagement

Use automated text messages, app alerts, and simple re-KYC steps to wake up accounts that haven't been used in a long time. Offer special bundles or simple investment plans to salaried professionals to keep them active.

2. Push Safe, Secured Loans

Focus marketing efforts on home and car loans instead of unsecured personal loans to keep the bank's money safer. Give special interest rates to loyal customers who keep high balances in their accounts.

3. Focus on Strong Branch Locations

Spend marketing and operational effort on cities and branches that bring in the strongest business (like Kolkata and Madurai). Review struggling branches to see if they can offer better local products or financial literacy training.

4. Take Care of High-Value Clients

Provide special care, personal advice, and dedicated relationship managers to clients who keep large balances (over Rs. 20 Lakhs) so they don't move their money to other banks.